Buckholz, Caldwell
Commercial Appraisals

# APPRAISAL OF:

W. Mill Road
Broadview Heights, Ohio 44147
PPN(s): 582-10-001 & 582-11-016

# Prepared For:

Craig Yaniglos, BSE
Chief Financial Officer
Brecksville Broadview Heights City Schools
6638 Mill Road
Brecksville, OH 44141

# Prepared By:

Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
377B Lear Road
Avon Lake, OH 44012

**Effective Date:**
October 27, 2022

**Date Photographed:**
October 27, 2022

**Date of the Report:**
November 15, 2022

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# Letter of Transmittal

November 15, 2022

Craig Yaniglos, BSE
Chief Financial Officer
Brecksville Broadview Heights City Schools
6638 Mill Road
Brecksville, OH 44141

Re: W. Mill Road
Broadview Heights, Ohio 44147

Dear Mr. Yaniglos:

In accordance to your request a(n) appraisal report has been developed for the above referenced property, which is summarized as follows. Located on the west side of W. Mill Road, the site is in close proximity to major highways and is located in residential & community zoning districts. Located in a highly-ranked school district, the subject's immediate area has consistently increasing single-family residential values with average prices in excess of $300,000. Despite the effects of the pandemic and increasing interest rates, demand continues to be stable within the immediate community. The attached report provides the data and reasoning for developing all opinions and conclusions and the purpose of this appraisal is to provide the client with an opinion of the:

- Current "As Is" opinion of market value of the Fee Simple interest of the subject property as of October 27, 2022. The intended use of the report is for financial planning purposes and the intended user(s) include the client.

No other use or users are intended. This report has been prepared in accordance with the generally accepted appraisal standards as set forth by the Appraisal Subcommittee of the Federal Financial Institution Examination Council and the Appraisal Foundation. If the Letter of Transmittal is separated from the attached appraisal of the above referenced property, all opinions of value may be rendered invalid at the appraiser's discretion. The use of the Letter of Transmittal & appraisal report constitutes the acceptances of the Scope of Work, all General Assumptions, Limiting Conditions, Extraordinary Assumptions and Hypothetical Conditions discussed in the attached report.

# Letter of Transmittal

## Extraordinary Assumptions

- Given the surrounding uses in the subject's immediate area and current ownership, this report and all opinions of value are based on the extraordinary assumption the acreage located in the D-1, Community District will receive zoning approval for single-family residential development as of the effective date of this report.

## Hypothetical Conditions

- There are no hypothetical conditions for this appraisal.

Reliance on assumptions, if applicable, may impact assignment results. This report is prepared in conformity with the Uniform Standards of Professional Appraisal Practice (USPAP). Based on all analyses, the following opinions of value(s) documented and qualified in the attached report under prevailing conditions of the effective date(s) are summarized as follows:

| Current "As Is" opinion of market value of the Fee Simple interest as of October 27, 2022 |
|---|
| $895,000<br><br>Eight Hundred Ninety Five Thousand Dollars |

Respectfully submitted,

Douglas J. Firca

Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
Certified General Real Estate Appraiser
Ohio License: 2005003714

## Summary of Salient Facts & Conclusions

**Subject Identification:**

| | |
|---|---|
| Property location: | W. Mill Road<br>Broadview Heights, Ohio 44147 |
| Parcel number(s): | 582-10-001 582-11-016 |
| Property owner: | Board of Education Brecksville School District |

**Report Dates:**

| | |
|---|---|
| Effective date: | October 27, 2022 |
| Date photographed: | October 27, 2022 |
| Date of the report: | November 15, 2022 |

**Subject Site:**

| | |
|---|---|
| Gross lot size: | 26.6240 acres; 1,159,742 square feet |
| Net lot size: | 26.2577 acres; 1,143,786 square feet |
| Zoning: | A-1, Single-Family Dwelling & D-1, Community |
| Frontage: | W. Mill Road: 531 feet<br>E. Wallings Road: 44 feet |
| Flood zone: | Zone X |
| Flood map number: | 39035C0309E |
| Flood map date: | December 3, 2010 |
| Highest & Best Use as Vacant: | Single-family residential subdivision development |

# SUMMARY OF SALIENT FACTS & CONCLUSIONS

The purpose of this report is to provide the client with an opinion of the:

- Current "As Is" opinion of market value of the Fee Simple interest of the subject property as of October 27, 2022.

Subject to all General Assumptions & Limiting Conditions, Extraordinary Assumptions and Hypothetical Conditions.

| **Approach Conclusions:** | | |
|---|---|---|
| Sales Comparison Approach: | | |
| As vacant: | (Land only) | $895,000 |
| As improved: | | N/A |
| Cost Approach: | | N/A |
| Income Capitalization Approach: | | N/A |

| **Reconciled Value(s):** | |
|---|---|
| Market Value Conclusion(s): | $895,000 |
| Effective Date: | October 27, 2022 |
| Property Rights Appraised: | Fee Simple |

# SUBJECT PHOTOGRAPHS

Date Photographed: October 27, 2022

W. Mill Road
Broadview Heights, Ohio 44147

Subject site

Subject site

W. Mill Road; North


W. Mill Road; South

This is an Appraisal Report as defined by Uniform Standards of Professional Appraisal Practice under Standards Rule 2-2(a). This format provides a summary or description of the appraisal process, subject and market data and valuation analyses. Supporting documentation concerning the data, reasoning, and analyses is retained in the appraiser's file. The depth of discussion contained in this report is specific to the needs of the client and for the intended use stated below. The appraiser is not responsible for unauthorized use of this report.

| | |
|---|---|
| Client: | Craig Yaniglos, BSE<br>Chief Financial Officer<br>Brecksville Broadview Heights City Schools<br>6638 Mill Road<br>Brecksville, OH 44141 |
| Appraiser: | Douglas J. Firca, MAI<br>Buckholz, Caldwell Commercial Appraisals<br>377B Lear Road<br>Avon Lake, OH 44012 |
| Subject | W. Mill Road<br>Broadview Heights, Ohio 44147<br>PPN(s): 582-10-001 & 582-11-016 |

## Purpose of the Appraisal

The purpose of this report is to provide the client with an opinion of the:

- Current "As Is" opinion of market value of the Fee Simple interest of the subject property as of October 27, 2022.

## Intended Use & User of the Report

The intended use of this report is to assist Craig Yaniglos, the client, for financial planning purposes and the intended user(s) include the client. No other use or users are intended. The appraiser is not responsible for unauthorized uses of this report and will be rendered invalid if separated from the Letter of Transmittal.

## Effective Date & Date of the Report

All opinions of value and final reconciliation are only valid as of the effective date of this report, which is October 27, 2022. The subject property was photographed on October 27, 2022. The date of the report in which the report was prepared is November 15, 2022.

## Certification of Appraisal

I certify that, to the best of my knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, extraordinary assumptions and hypothetical conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- I have no present or prospective interest in the property, which is the subject of this report, and no personal interest with respect to the parties involved.
- I have provided previous appraisal services of the subject property within three years of the effective date of this report.
- I have no bias with respect to the property, which is the subject of this report, or to the parties involved with this assignment.
- My engagement in this assignment was not contingent upon developing or reporting predetermined results.
- My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the requirements of the Code of Professional Ethics & Standards of Professional Appraisal Practice of the Appraisal Institute, which include the Uniform Standards of Professional Appraisal Practice.
- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.
- The subject consists of vacant land and the site was visually observed and photographed. Of the undersigned, Douglas J. Firca, MAI visually observed the subject property on the effective date of this report.
- No one other than the undersigned provided significant real property appraisal assistance to the person(s) signing this certification.

# CERTIFICATION OF APPRAISAL

- As of the date of this report, Douglas J. Firca, MAI has completed the continuing education program for Designated Members of the Appraisal Institute.
- As of the date of this report, Douglas J. Firca, MAI has completed the continuing education requirements of the State of Ohio.

Date of the Report: November 15, 2022

Douglas J. Firca

Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
Certified General Real Estate Appraiser
Ohio License: 2005003714

## General Assumptions

This report is subject to the following general assumptions:

- The appraiser assumes no responsibility for the legal description(s) provided or for other matters pertaining to legal and/or title considerations. The legal description used in this report is assumed to be correct, but may not necessarily have been confirmed by survey. Unless otherwise informed, this report assumes the title is clean and marketable as of the effective date of this report.

- Unless informed otherwise, the appraiser assumes the subject is free and clear of any and all liens and/or encumbrances.

- Responsible ownership and competent property management are assumed.

- Information received, identified or provided by others and/or data sources are assumed to be reliable, but the appraiser assumes no responsibility for its accuracy. All information obtained is believed to be accurate. The appraiser cannot warrant and is not responsible for any inaccuracies that may or may not affect the opinion(s) of value.

- All maps, exhibits, surveys and applicable studies are assumed to be accurate, are included to help the reader visualize the property and are intended for reference only.

- It is assumed there are no hidden or unapparent conditions of the subject that may or may not affect value. The appraiser assumes no responsibility for costs associated with the detection and/or remedies of said conditions. Such conditions include, but are not limited to presence of hazardous substances/site contamination, presence of submerged items (whether intact or leaking), presence of wetlands, insufficient soil load bearing capacity, restricted air rights, adverse easements/encroachments, mines, wells, pending eminent domain plans and other miscellaneous conditions that may or may not affect value. This list may be extended at the appraiser’s discretion.

- This report assumes the subject conforms to all applicable zoning and use regulations/restrictions and all applicable building codes. Any variance found will be disclosed in the report.

- The appraiser assumes all building improvements are legally located on the subject parcels and do not illegally encroach/trespass on an adjacent lot with different ownership.

- It is assumed all improvements have the necessary licenses, certificates of occupancy, easements and permits as of the effective date of this report.

# GENERAL ASSUMPTIONS

- Any applicable forecasts, projections and/or operating estimates are predicated upon current market conditions as of the effective date of this report. They are estimated based on anticipated short-term supply and demand factors and a stable economy that is assumed to continue into the future. All forecasts, projections and/or operating estimates are subject to change along with future conditions.

- Unless otherwise stated, this report and all opinions of values assume there are no hazardous materials or other environmental conditions adversely affecting the property as of the effective date of this report. If hazardous conditions are known, they will be discussed in detail in the report. The appraiser is not skilled at detecting these materials and assumes no responsibility for the presence of potentially hazardous materials including, but not limited to asbestos, lead paint, subsurface hydrocarbons or other hazardous materials that may or may not be present, any test that may be required to detect their presence and/or any remediation costs to properly dispose of such materials. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless otherwise stated in this report. If any of this is a concern to any of the parties involved, a formal inspection conducted by an expert in the appropriate field is recommended.

- Should any hazardous materials, environmental conditions and/or soil conditions exist that may or may not require remediation, the appraiser reserves the right to reconsider all opinions of value.

- Unless otherwise stated in this report, the subject property is appraised without a specific compliance survey having been conducted to determine if the property is or is not in conformance with the requirements of the Americans with Disabilities Act. The presence of architectural and communications barriers that are structural in nature that would restrict access by disabled individuals may adversely affect the property's value, marketability, or utility.

- Any proposed construction and/or renovations are assumed to be completed within a reasonable time period (six months to one year±) and are assumed to be completed to those specifications, plans and/or cost estimates provided. All plans/cost estimates provided, if applicable, are assumed to be of typical quality deemed to be reasonable. In addition, all new construction or renovations are assumed to conform to all applicable building codes and zoning ordinances.

- In the event of loss and/or damage resulting from any cause this report and all opinions of value assume all government entities will allow the improvements to be reconstructed, renovated and/or repaired.

- Should the appraiser be provided with detailed information regarding the presence of a hidden or unapparent condition that affects value, such information will be disclosed in the report. Regardless of the information provided, the appraiser reserves the right to invoke a hypothetical condition and/or an extraordinary assumption for the purposes of this report. If this is unacceptable by the client, this report may be rendered invalid at the appraiser's discretion.

# LIMITING CONDITIONS

This report is subject to the following limiting conditions:

- The distribution, if any, of the total valuation in this report between land and improvements applies only under the stated program of utilization. The separate allocations for land and buildings must not be used in conjunction with any other appraisal and are invalid if so used.

- The liability of Buckholz, Caldwell Commercial Appraisals, its employees and agents are limited only to the client who is paying the fee and to the amount of the fee actually received. The acceptance and use of this report is the acceptance of all terms and conditions. Buckholz, Caldwell Commercial Appraisals has no accountability, obligation and/or liability to any third party. It is the client's responsibility to sufficiently inform any third party of all limiting conditions and assumptions. The appraiser and the appraisal firm are not responsible for costs to discover and/or correct physical, financial and/or legal deficiencies of the property under appraisement. The Client agrees by acceptance of this report that any lawsuit brought by the lender, partner, tenant or any other party that any settlement or award of any type regardless of the outcome, the Client and all parties completely hold harmless this firm and its employees and agents. Possession of this report, or a copy thereof, does not carry with it the right of publication and anyone who uses this report without the preparer's written consent does so at its/his/her/their own risk.

- The appraiser is not required to provide additional consultation or testimony or appear in court with reference to the subject in question unless arrangements and fees have been agreed upon.

- Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, new sales, or other media without prior written consent and approval of the appraiser.

- All opinions of value in this report apply to the subject in its entirety and any proration or division of the opinion of value into fractional interests will render this report invalid unless the proration or division has been indicated in said report.

- The appraiser is not responsible for any unauthorized use of this report. In addition, the report in considered invalid should the Letter of Transmittal not accompany this report. The final opinion of value is based on market conditions and other factors as of the effective date.

- This report has been developed based on information provided as of the effective date of this report. Should additional information be provided that differs from any of the appraiser's assumptions, this report may be rendered invalid at the appraiser's discretion. Should this report/final opinion of value be rendered invalid at the appraiser's discretion, the terms in the engagement letter, including all fees are still valid for the work completed.

# Limiting Conditions

- The client is responsible for providing the appraiser with a title report detailing all easements, restrictions and/or encroachments. Should documentation regarding easements, restriction and/or encroachments not be provided, the appraiser is not responsible for any regulation and/or restriction that may or may not affect market value. Similarly, the appraiser assumes the subject does not have any pending eminent domain plans as of the effective date of this report unless written documentation is provided indicating otherwise.

- The appraiser has not provided a skill that is beyond his qualifications. The reader is advised that the appraiser is not a building inspector, engineer, geologist or skilled in another specific/specialized field. Should any of the parties involved be concerned with potential environmental contamination, submerged tanks (whether intact or leaking), wetlands, adverse easements/encroachments and/or the structural, mechanical or electrical integrity of any building improvement(s) and/or site, a certified professional in the appropriate skill category is recommended. Should written documentation not be provided for conditions that are not readily apparent, the appraiser is not responsible for any positive or negative ramifications that may or may not exist.

- Any mention of the word "inspection" is used in the context of skills within the appraiser's qualifications. This should not be confused with professional "inspections" provided by certified professionals in their respected fields.

- Any opinions of value provided in the report apply to the entire property, and any proration or division of the total into fractional interests will invalidate the opinion of value, unless such proration or division of interest has been set forth in this report.

- This report and all opinions of value are based on the subject property and all location influences (regardless of the scale of location) solely as of the effective date of this report. Unforeseen circumstances and events can alter the opinions of value, which may be rendered invalid should there be an unforeseen impact to local real estate markets.

- The Americans with Disabilities Act (ADA) became effective January 26, 1992. The appraiser has not made a specific compliance survey or analysis of the property to determine whether or not it is in conformity with the various detailed requirements of ADA. It is possible a compliance survey of the property and a detailed analysis of the requirements of the ADA would reveal the property is not in compliance with one or more of the requirements of the act. If so, this fact could have a negative impact upon the value of the property under appraisement. Since the appraiser has no direct evidence relating to this issue, possible noncompliance with the requirements of ADA was not considered in estimating the value of the subject.

# PRIVACY STATEMENT

Information we collect:

We collect and use information we believe is necessary to provide you with our appraisal services. We may collect and maintain several types of personal information needed for this purpose including, but not limited to:

- Information we receive from you on applications, letters of engagement, forms found on our website, correspondence, or conversations, including, but not limited to, your name, address, phone number, social security number, date of birth, bank records, salary information, the income and expenses associated with the subject property, the sale price of the subject property and the details of any financing on the subject property;
- Information about your transactions with us, our affiliates or others, including, but not limited to, payments history, parties to transactions and other financial information;
- Information we receive from a consumer-reporting agency such as a credit history.

Information we disclose:

Except as described below, we do not share nonpublic personal information. We will not rent, sell, trade or otherwise release or disclose any personal information about you. We will not disclose consumer information to any third party for use in telemarketing, direct mail or other marketing purposes.

We limit the sharing of nonpublic personal information about you with financial or non-financial companies, including companies affiliated with us and other third parties to the following:

- We may share information when it is necessary or required to process a loan or other financial transaction;
- We may share information when it is required or permitted by law, such as to protect you against fraud or in response to a subpoena;
- We may disclose some or all of the information described above with:

  Companies that perform marketing services on our behalf; or

  Other financial institutions for the limited purpose of jointly offering, endorsing or sponsoring a financial product or service.

## Scope of Work

According to the Uniform Standards of Professional Appraisal Practice, it is the appraiser's responsibility to develop and report a scope of work that results in credible results that are appropriate for the appraisal problem and intended user(s).  The following steps were discussed with the client and were deemed acceptable to all parties.

- This is an Appraisal Report as defined by Uniform Standards of Professional Appraisal Practice under Standards Rule 2-2(a). This format provides a summary or description of the appraisal process, subject and market data and valuation analyses.

- The subject has been identified by the legal description and the assessors' parcel number.

- The appraiser will develop an Appraisal Report adhering to USPAP regulations and will include the following: regional and neighborhood analyses, subject photographs, site description, location, flood and plat maps, zoning classifications, tax information, highest and best use analysis and other relevant information.  The appraiser is not responsible for delinquent taxes and/or liens that may or may not be reported.  This report will also include all applicable approaches or those approaches specifically requested by the client.  All relevant information not included in this report is retained in the appraiser's file.

- The subject consists of vacant land and the site was visually observed and photographed. This only applies to the real property and does not include personal property.  The appraiser's observation is limited to those things readily observable without the use of special testing equipment.  Therefore, the appraiser is not responsible for any and all items, aspects and/or conditions that the appraiser is not skilled to detect.

- Collected information about the subject property (from the subject property owner and/or their representatives) and relevant market data from the surrounding market area.

- An as vacant highest and best use analysis for the subject has been developed.  Physically possible, legally permissible and financially feasible uses were considered and the maximally productive use was concluded.

- Researched applicable comparable data from professional and public data sources deemed reliable including, but not limited to county records, CoStar, LoopNet, Multiple Listing Service (MLS), RealtyRates.com and/or Marshall Valuation Service.  Additional steps were then taken to confirm the data with a knowledgeable source including, but not limited to the buyer(s), seller(s), brokers, realtors, leasing agents, etc.

- Reconciled the indication(s) of value into final conclusion(s) as of the effective date of this report.

- The appraiser has not provided a skill that is beyond his qualifications. The reader is advised that the appraiser is not a building inspector, engineer, geologist or skilled in another specific/specialized field. Should any of the parties involved be concerned with potential environmental contamination, submerged tanks (whether intact or leaking), wetlands, adverse easements/encroachments and/or the structural, mechanical or electrical integrity of any building improvement(s) and/or site, a certified professional in the appropriate skill category is recommended. Should written documentation not be provided for conditions that are not readily apparent, the appraiser is not responsible for any positive or negative ramifications that may or may not exist.

- The following approaches to value were considered.

  - **Sales Comparison Approach:** The Sales Comparison Approach was considered and was developed because there is adequate data to develop an opinion of value and this approach reflects market behavior for this property type.

  - **Cost Approach:** The Cost Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

  - **Income Capitalization Approach:** An income approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

## Extraordinary Assumptions

Extraordinary assumption is defined as “An assumption, directly related to a specific assignment, as of the effective date of the assignment results, which, if found to be false, could alter the appraiser’s opinion or conclusions. Comment: Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis.

- Given the surrounding uses in the subject's immediate area and current ownership, this report and all opinions of value are based on the extraordinary assumption the acreage located in the D-1, Community District will receive zoning approval for single-family residential development as of the effective date of this report.

## Hypothetical Conditions

Hypothetical condition is defined as “1. A condition that is presumed to be true when it is known to be false. (SVP) 2. A condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results, but is used for the purpose of analysis. Comment: Hypothetical conditions are contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis. (USPAP, 2016-2017 ed.)”[1]

- There are no hypothetical conditions for this appraisal.

Reliance on General Assumptions, Extraordinary Assumptions and/or Hypothetical Conditions may impact assignment results.

[1] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 92

## PROPERTY RIGHTS APPRAISED

The two most common property rights appraised include:

Fee Simple: *"Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."*[2]

Leased Fee: *"The ownership interest held by the lessor, which includes the right to receive the contract rent specified in the lease plus the reversionary right when the lease expires."*[3] Short-term leases, typically one-year or less, with similar renewal periods at market rents results in a leased fee interest that is similar to the fee simple interest.

For purposes of this report, the final opinion of value is based on the Fee Simple interest of the subject property as of the effective date of this report.

## DEFINITION OF MARKET VALUE

Market Value is defined by the Appraisal Institute as:

> "The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and acting in what they consider their best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."[4]

[2] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 73
[3] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 105
[4] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 118

## MARKETING & EXPOSURE TIME

Marketing time is defined by the Appraisal Institute as:

> *"An opinion of the amount of time it might take to sell a real or personal property interest at the concluded market value level during the period immediately after the effective date of an appraisal. Marketing time differs from exposure time, which is always presumed to precede the effective date of an appraisal."*[5]

Based on the subject's physical characteristics, current supply and demand for competing properties, current economic trends, etc., a projected marketing time of 6-12± months is considered reasonable.

Exposure time is defined by the Appraisal Institute as:

> *1. The time a property remains on the market.*
>
> *2. [The] estimated length of time that the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal.*[6]

Based on the subject's physical characteristics, current supply and demand for competing properties, current economic trends, etc., a projected exposure time of 6-12± months is considered reasonable.

## IDENTIFICATION OF THE REAL ESTATE

The subject is located on the west side of W. Mill Road, four parcels south of E. Wallings Road. The site has frontage along W. Mill and E. Wallings Roads. As of the effective date of this report the subject is owned by Board of Education Brecksville School District, is located at W. Mill Road, Broadview Heights, Ohio 44147 and includes parcel number(s) 582-10-001 & 582-11-016. The subject site consists of 26.6240 gross acres or 1,159,742 gross square feet and has a net usable area of 26.2577 acres, or 1,143,786 square feet, net of existing right-of-way and any additional deductions when applicable.

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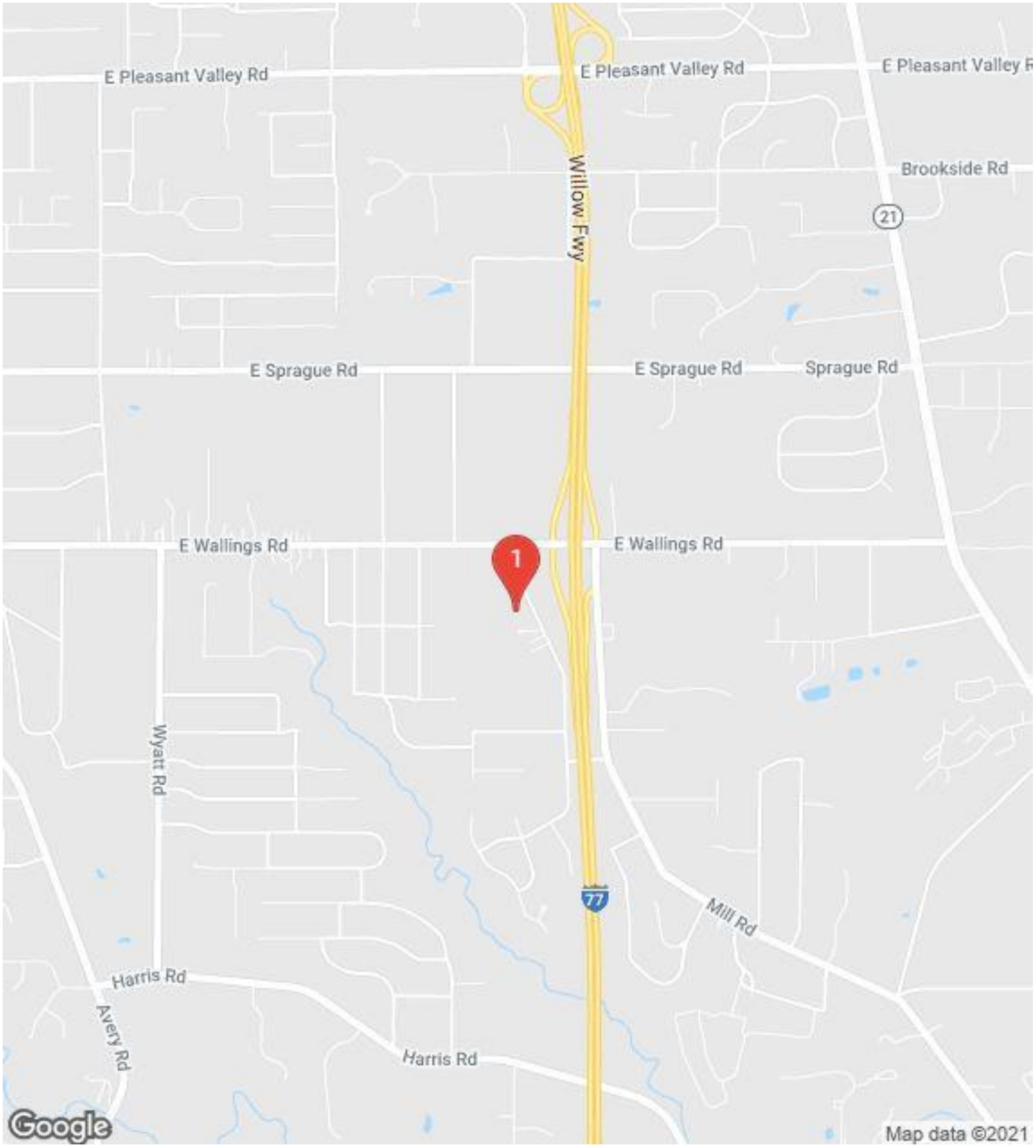
[5] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 116
[6] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 67-68

# LOCATION MAP



## History of Ownership

There have been no relevant transfers of the subject within the past five years and the subject is not currently listed for sale as of the effective date of this report.

## Assessed Value & Taxes

The following tables summarize the subject's assessed and market values and taxes and special assessments as reported by the Cuyahoga County Auditor's Office.

| Auditors Assessed & Market Values | | | | | | |
|---|---|---|---|---|---|---|
| **Tax ID** | Land (Market) | Improvements (Market) | **Total Market Value** | Land (Assessed) | Improvements (Assessed) | **Total Assessed Value** |
| 582-10-001 | $903,400 | $0 | $903,400 | $0 | $0 | $0 |
| 582-11-016 | $2,130,700 | $0 | $2,130,700 | $0 | $0 | $0 |
| **Totals** | $3,034,100 | $0 | **$3,034,100** | $0 | $0 | **$0** |

Notes:

| Taxes & Special Assessments | | | |
|---|---|---|---|
| **Tax ID** | **Taxes** | **Special Assessments** | **Delinquent Taxes** |
| 582-10-001 | $0.00 | $0.00 | $0.00 |
| 582-11-016 | $0.00 | $0.00 | $0.00 |
| Totals | **$0.00** | $0.00 | $0.00 |

Notes:

The subject has a tax exempt status as of the effective date of this report. In addition, the auditor's opinion of market value of the subject is not consistent with the market data analyzed in the applicable approaches to value and is given no consideration in the final reconciled opinion of market value.

# Market & Neighborhood Analysis

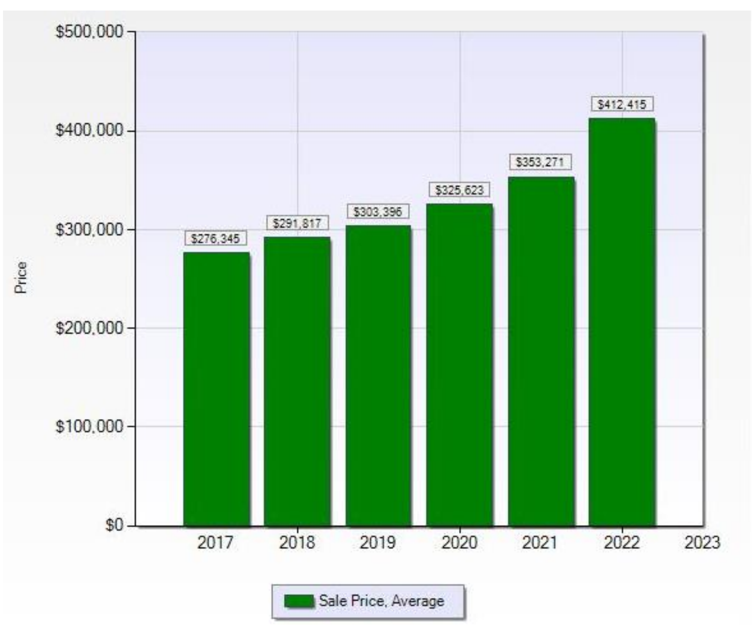
Located 15± miles south of downtown Cleveland, the City of Broadview Heights has been one of the most stable communities in northeast Ohio for the past several decades with significant population growth since 2000. The community is well placed and served by major highways, employment centers, increasing residential values and highly ranked school systems. While there have been notable declines in Cuyahoga County over the past few decades, most of the declines have occurred in the City of Cleveland, which experienced a population decline of 35.1% between 1980 and 2020. Unlike Cuyahoga County, Broadview Heights has been consistently growing with a relatively stable forecasted growth. The following population trends have been provided by the U.S. Census Bureau.

| U.S. Census Bureau Population & Projections | | | | |
|---|---|---|---|---|
| | Cuyahoga County | % Change | Broadview Heights | % Change |
| 1980 Census | 1,498,400 | n/a | 10,909 | n/a |
| 1990 Census | 1,412,140 | -5.8% | 12,219 | 12.0% |
| 2000 Census | 1,393,987 | -1.3% | 15,967 | 30.7% |
| 2010 Census | 1,280,122 | -8.2% | 19,400 | 21.5% |
| 2020 Census | 1,248,514 | -2.5% | 19,936 | 2.8% |

*Source: U.S. Census Bureau

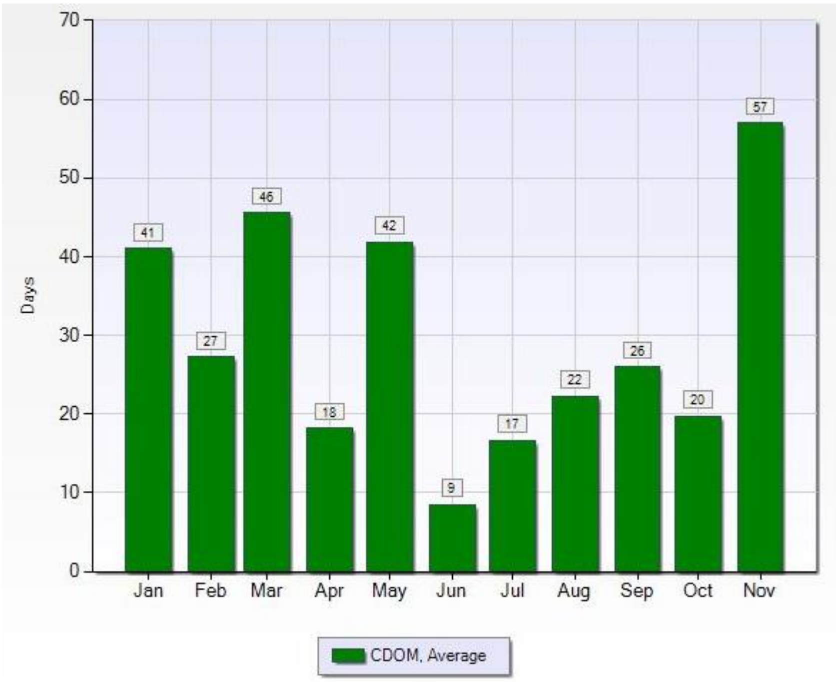
<u>Residential Market</u>

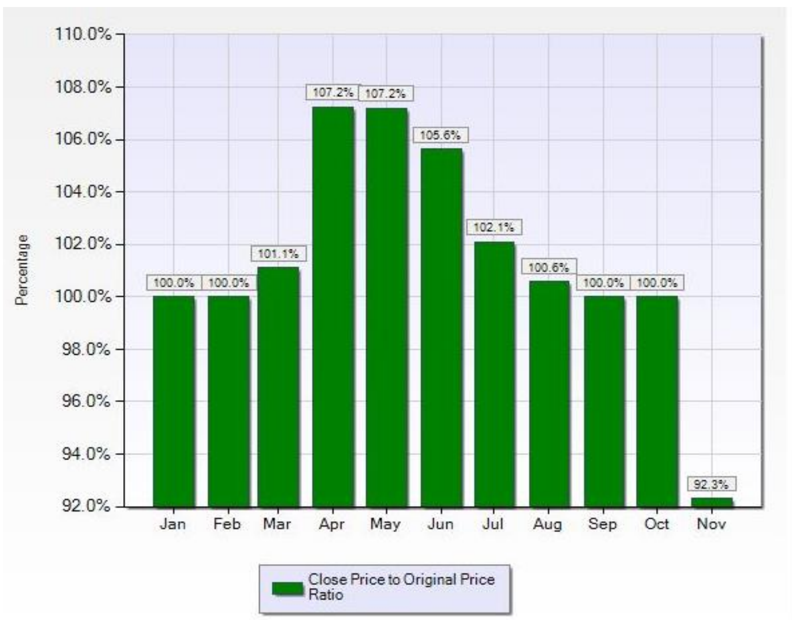
As a result of the pandemic and a shortage of inventory of single-family residential listings, the residential housing market experienced significant increases in value, most of which based on atypical market conditions considered to be temporary. In addition to increases in values, inflation has also significantly increased beginning in March of 2021, increasing since and set a 40-year high in September of 2022. Addressing the massive increases in inflation, the Federal Reserve increased interest rates 75 basis points for four consecutive months for a total increase of 300 basis points, or 3.0%. Interest rates have doubled since September of 2021 with a positive correlation among mortgage rates. The following graph has been provided by the Multiple Listing Service (MLS) and summarizes average sale prices in Broadview Heights over the past five years.



## MARKET & NEIGHBORHOOD ANALYSIS

Although the year-to-date average sale price continues to increase from previous years, the most recent interest rate increase postdates the year-to-date data in the chart above. The increasing interest rates are resulting in longer time on market and price reductions from list price, both of which are summarized in the following two charts provided by the Multiple Listing Service (MLS).



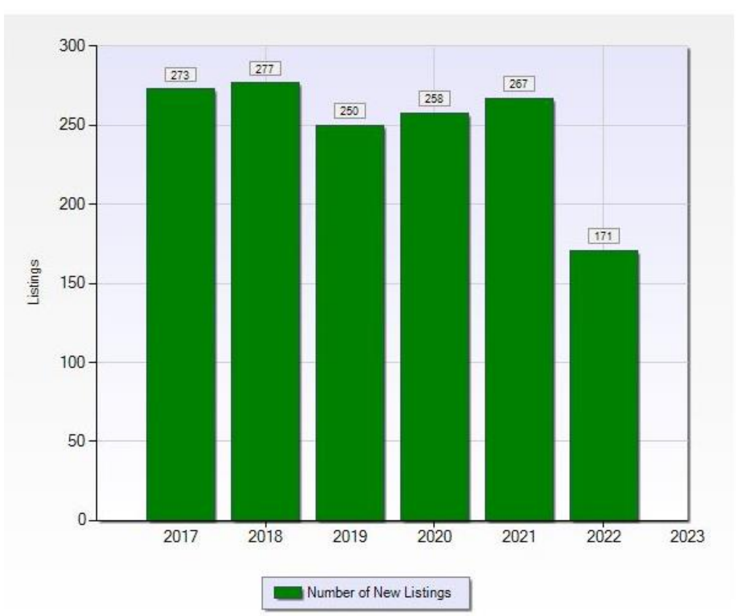



# MARKET & NEIGHBORHOOD ANALYSIS

While the Federal Reserve does not directly set interest rates, but rather short-term rates, they can still have an indirect influence on mortgage rates. Based on the most recent Federal Open Market Committee (FOMC) meeting, additional increases in interest rates are anticipated due to continued increases in inflation. The following table summarizing the Consumer Price Index (CPI) since 2012 and has been provided by the U.S. Bureau of Labor Statistics.

| Year | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | Nov | Dec | HALF1 | HALF2 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **2012** | 3.0 | 2.9 | 2.6 | 2.3 | 1.7 | 1.7 | 1.4 | 1.7 | 1.9 | 2.2 | 1.8 | 1.8 | | |
| **2013** | 1.7 | 2.0 | 1.5 | 1.1 | 1.4 | 1.7 | 1.9 | 1.5 | 1.1 | 0.9 | 1.2 | 1.5 | | |
| **2014** | 1.6 | 1.1 | 1.6 | 2.0 | 2.2 | 2.1 | 2.0 | 1.7 | 1.7 | 1.6 | 1.2 | 0.7 | | |
| **2015** | -0.2 | -0.1 | 0.0 | -0.1 | 0.0 | 0.2 | 0.2 | 0.2 | 0.0 | 0.1 | 0.4 | 0.6 | | |
| **2016** | 1.2 | 0.8 | 0.9 | 1.2 | 1.1 | 1.1 | 0.9 | 1.1 | 1.5 | 1.7 | 1.7 | 2.1 | | |
| **2017** | 2.5 | 2.8 | 2.4 | 2.2 | 1.9 | 1.6 | 1.7 | 1.9 | 2.2 | 2.0 | 2.2 | 2.1 | | |
| **2018** | 2.1 | 2.2 | 2.3 | 2.4 | 2.8 | 2.8 | 2.9 | 2.7 | 2.4 | 2.5 | 2.2 | 1.9 | | |
| **2019** | 1.5 | 1.5 | 1.9 | 2.0 | 1.8 | 1.7 | 1.8 | 1.8 | 1.7 | 1.8 | 2.0 | 2.3 | | |
| **2020** | 2.5 | 2.3 | 1.5 | 0.4 | 0.2 | 0.7 | 1.0 | 1.3 | 1.4 | 1.2 | 1.1 | 1.3 | | |
| **2021** | 1.4 | 1.7 | 2.7 | 4.2 | 4.9 | 5.3 | 5.3 | 5.2 | 5.4 | 6.2 | 6.8 | 7.1 | | |
| **2022** | 7.5 | 7.9 | 8.6 | 8.2 | 8.5 | 9.0 | 8.5 | 8.2 | 8.2 | 7.8 | | | | |

Increases in interest rates and construction costs have resulted in declining effective purchasing power and will likely result in less new construction starts going into 2023. In addition, the market appears to be stabilizing post pandemic as there are a greater number of existing homes on the market. The following chart summarizes the number of single-family residential sales in Broadview Heights over the past five years and has been provided by the Multiple Listing Service.



# Market & Neighborhood Analysis

Based on current market activity through October of 2022, there have been 171 sales of single-family houses in Broadview Heights. The market data indicates an annualized number of single-family residential sales of about 205, which is a -23% decline from the previous year. The market data indicates a stabilizing market from previous years impacted by atypical market conditions.

School District

The Brecksville-Broadview Heights City School District includes the entire City of Brecksville, the majority of Broadview Heights, including the subject's immediate location, and portions of North Royalton. As of the effective date of this report, the school district has one high-school, one middle school and three elementary schools with enrollment of about 4,000± students. Routinely considered as one of the top suburban school districts, the district was ranked 14$^{th}$ in the state in 2018 and the middle school was named a 2018 National Blue Ribbon School by the U.S. Department of Education.

Based on U.S. News High School Ranking, Brecksville-Broadview Heights High School is ranked 21$^{st}$ in the state and 4$^{th}$ within Cleveland, Ohio Metro Area High Schools. In summary, the City of Broadview Heights has both population and economic growth, is in close proximity to major employment centers and has a highly ranked school system. Despite the atypical housing market in late 2020 through year-end 2021, housing values were consistently increasing over several years prior to the pandemic. With forecasted increases in mortgage rates, demand may be reduced, but values are expected to continue to increase at a more sustainable pace.

# Aerial/Plat Map

## SITE DESCRIPTION

The subject is located on the west side of W. Mill Road, four parcels south of E. Wallings Road. The site has frontage along W. Mill and E. Wallings Roads. The physical characteristics of the subject site are summarized below.

| | | |
|---|---|---|
| Parcel Number(s): | 582-10-001 582-11-016 | |
| Land size: | | |
| Gross lot size: | 26.6240 acres | 1,159,742 square feet |
| P.R.O. (right-of-way): | 0.3663 acres | 15,956 square feet |
| Other deduction(s): | 0.0000 acres | 0 square feet |
| Net lot size: | 26.2577 acres | 1,143,786 square feet |
| Zoning: | A-1, Single-Family Dwelling & D-1, Community | |
| School District: | Brecksville-Broadview Hts. | |
| Utilities: | Public water | Electricity |
| | Public sewers | Natural gas |
| Site Improvements: | Site improvements predominantly consist of densely wooded natural growth | |
| Shape: | The site is mostly rectangular in shape | |
| Road Frontage: | W. Mill Road: | 531 feet |
| | E. Wallings Road: | 44 feet |
| Depth: | 1,134 feet | |
| Topography: | The subject is moderately sloping south from Wallings Road and has predominantly level topography at street grade along Mill Road. | |
| Flood Zone: | The subject is located in an area mapped by the Federal Emergency Management Agency (FEMA). The subject is located in flood zone X, which is not classified as an adverse flood hazard area. | |
| FEMA panel number & date: | 39035C0309E | December 3, 2010 |
| Environmental Issues: | As of the effective date of this report there are no known adverse environmental conditions on the subject site. | |
| Easements/Encumbrances: | There are no known encumbrances and the subject has typical utility easements similar to other properties in the subject's immediate neighborhood. | |

# ZONING

The following information has been confirmed with the city ordinance.

| | |
|---|---|
| Property type: | Residential (Single-Family) |
| Zoning: | A-1, Single-Family Dwelling & D-1, Community |

| Category | A-1, Single-Family Dwelling |
|---|---|
| Minimum lot size: | 30,000 square feet |
| Minimum gross floor area: | 1,500 square feet for a house with a basement |
| | 1,600 square feet for a house without a basement |
| Minimum frontage: | 125 feet |
| Front setback: | 50 feet |
| Max. building height: | 35 feet |

| Category | D-1, Community |
|---|---|
| Minimum lot size: | Varies by use |
| Front setback: | 75 feet when adjacent to any residential district |
| Side setback: | 100 feet or two times the building height, whichever is greater. |
| Rear setback: | 100 feet or two times the building height, whichever is greater. |
| Max. building height: | 40 feet, or 3 floors |

The table above provides a brief summary of the zoning criteria and is not a complete list as some criteria may be contingent on property use. The appraiser's interpretation of the subject's zoning is not to be considered an exact compliance study, but rather is considered reasonable for the scope of this assignment.

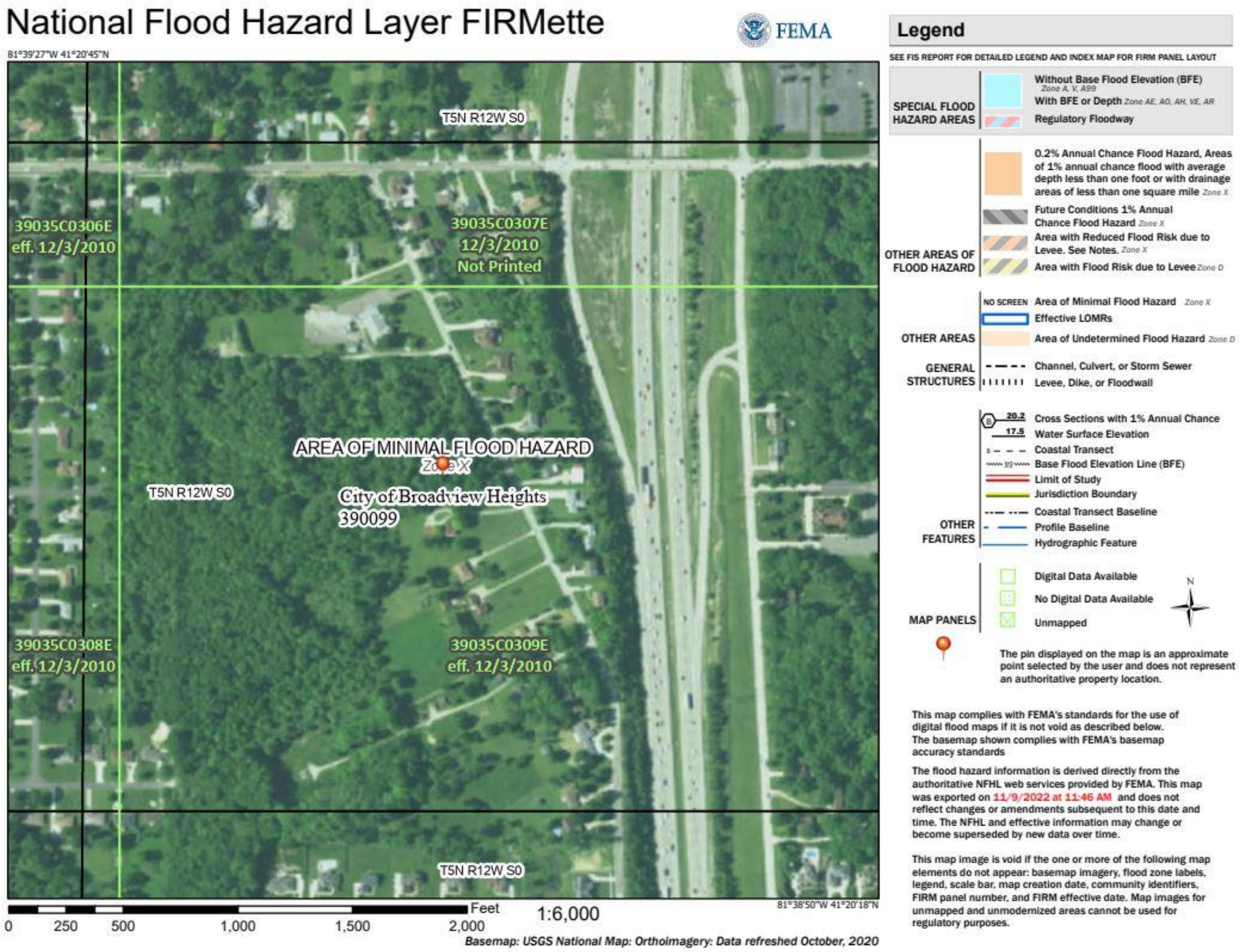
Non-conforming uses

It is not uncommon for building improvements to predate current zoning ordinances. While this classification results in a legal non-conforming use status, there may be limitations should the building improvements become damaged or should ownership want to expand/alter the building. This is contingent on local laws, which often differ from city to city. Extended periods of vacancy, damage to the building above a predetermined percentage of market value and/or improvements that extend the economic life of a non-conforming use are just a few examples of circumstances considered by each city and only consists of a partial list. Because non-conforming properties routinely transfer, legal non-conformities typically have little impact on value. Since zoning is a legal consideration, should this be a concern for any of the parties involved a formal study provided by the building department and legal representation is recommended.

# ZONING MAP


CRAIG LANE
LOUIS ROAD
DIANA DRIVE
KAREN LYNNE DRIVE
EXIT
582 10
582 11
582 12
582 22
Zoning Code
A-1 Single Family Dwelling
A-2 Two Family Dwelling
B-1 Cluster Housing
B-2 Multi Family Housing
B-3 Rural Residential
B-5 Senior Citizen
C-1 Commercial - Local Retail
C-2 Commercial - General
C-3 Office Space
C-4 Shopping Center
C-5 Interstate Highway Shopping Ctr District
C-6 Corridor Conversion District
D-1 Community
E-1 Office - Laboratory
E-2 Light Industrial
SPDA Special Planning District Zone A
SPDB Special Planning District Zone B

# FLOOD MAP


National Flood Hazard Layer FIRMette
FEMA
81°39'27"W 41°20'45"N
T5N R12W S0
39035C0306E
eff. 12/3/2010
39035C0307E
12/3/2010
Not Printed
AREA OF MINIMAL FLOOD HAZARD
Zone X
T5N R12W S0
City of Broadview Heights
390099
39035C0308E
eff. 12/3/2010
39035C0309E
eff. 12/3/2010
T5N R12W S0
81°38'50"W 41°20'18"N
Feet
0 250 500 1,000 1,500 2,000
1:6,000
Basemap: USGS National Map: Orthoimagery: Data refreshed October, 2020
Legend
SEE FIS REPORT FOR DETAILED LEGEND AND INDEX MAP FOR FIRM PANEL LAYOUT
SPECIAL FLOOD HAZARD AREAS
Without Base Flood Elevation (BFE) Zone A, V, A99
With BFE or Depth Zone AE, AO, AH, VE, AR
Regulatory Floodway
OTHER AREAS OF FLOOD HAZARD
0.2% Annual Chance Flood Hazard, Areas of 1% annual chance flood with average depth less than one foot or with drainage areas of less than one square mile Zone X
Future Conditions 1% Annual Chance Flood Hazard Zone X
Area with Reduced Flood Risk due to Levee. See Notes. Zone X
Area with Flood Risk due to Levee Zone D
OTHER AREAS
NO SCREEN Area of Minimal Flood Hazard Zone X
Effective LOMRs
Area of Undetermined Flood Hazard Zone D
GENERAL STRUCTURES
Channel, Culvert, or Storm Sewer
Levee, Dike, or Floodwall
OTHER FEATURES
20.2
17.5
Cross Sections with 1% Annual Chance Water Surface Elevation
Coastal Transect
Base Flood Elevation Line (BFE)
Limit of Study
Jurisdiction Boundary
Coastal Transect Baseline
Profile Baseline
Hydrographic Feature
MAP PANELS
Digital Data Available
No Digital Data Available
Unmapped
N
The pin displayed on the map is an approximate point selected by the user and does not represent an authoritative property location.
This map complies with FEMA's standards for the use of digital flood maps if it is not void as described below. The basemap shown complies with FEMA's basemap accuracy standards
The flood hazard information is derived directly from the authoritative NFHL web services provided by FEMA. This map was exported on 11/9/2022 at 11:46 AM and does not reflect changes or amendments subsequent to this date and time. The NFHL and effective information may change or become superseded by new data over time.
This map image is void if the one or more of the following map elements do not appear: basemap imagery, flood zone labels, legend, scale bar, map creation date, community identifiers, FIRM panel number, and FIRM effective date. Map images for unmapped and unmodernized areas cannot be used for regulatory purposes.

## HIGHEST & BEST USE

Highest and best use is defined by the Appraisal Institute as:

*"The reasonably probable use of property that results in the highest value. The four criteria that the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum productivity."*[7]

### Highest & Best Use Analysis – As Vacant

Legally Permissible:

The subject is located on the west side of W. Mill Road, four parcels south of E. Wallings Road. The site has frontage along W. Mill and E. Wallings Roads. The subject is located in the A-1, Single-Family Dwelling & D-1, Community District in which a few legally permissible uses include, but are not limited to, single-family residential dwellings, government buildings, libraries, museums and religious facilities. Given the surrounding residential uses and current ownership, the areas located in the D-1 Community District have a high probability of zoning change or approved variance allowing residential development. All other uses including conditional uses must first be approved by the Planning Commission and/or the Zoning Board of Appeals. Based on the earlier discussion of zoning requirements, it appears the subject is legally conforming as of the effective date of this report.

Physically Possible:

Physical possibility considers multiple factors including size, shape, topography, frontage, depth, access and availability of utilities and is based on all general assumptions and limiting conditions specified earlier in this report. The subject consists of 26.6240 gross acres or 1,159,742 gross square feet, has about 531 feet of frontage along W. Mill Road and 44 feet of frontage along E. Wallings Road. The subject has a net usable size of 26.2577 acres, or 1,143,786 square feet, net of existing right-of-way and any additional deductions when applicable. All sizes and dimensions have been confirmed with public records, legal descriptions and/or plat maps and are assumed to be accurate. The site is mostly rectangular in shape and has access to the following utilities:

- Public water
- Public sewers
- Electricity
- Natural gas

All of the available utilities are assumed to have sufficient capacity to support the subject's highest and best use. There are no known encumbrances and the subject has typical utility easements similar to other properties in the subject's immediate neighborhood. As of the effective date of this report there are no known adverse environmental conditions on the subject site. The subject is moderately sloping south from Wallings Road and has predominantly level topography at street grade along Mill Road. It appears the subject has adequate physical and legal access and has few physical limitations restricting development of a legally permissible use.

[7] The Dictionary of Real Estate Appraisal, 7th Edition, Appraisal Institute, Chicago, IL, 2022, p. 88-89

# Highest & Best Use Analysis – As Vacant

Financial Feasibility:

This step of highest and best use analysis identifies whether there is sufficient entrepreneurial incentive for new construction of a legally permissible use. The use must provide a profit above the cost of purchasing the land and construction of the building and site improvements and should be commensurate with the risk involved.

As previously discussed in the Market & Neighborhood Analysis section of this report, the City of Broadview Heights has experienced population and economic growth, increasing residential values, strong school systems and is in close proximity to major highways and employment centers. Adjacent to a religious facility to the north, the remaining surrounding uses are single-family residential houses. Year-to-date 2022, Broadview Heights has an average single-family house value in excess of $412,415 and there was a September 2022 sale of a single-family house for $400,000, which is considered to be consistent with the average sale price in the city. Despite anticipated additional increases in interest rates, Broadview Heights is anticipated to maintain sustainable growth and stabilizing values. In addition, the appraiser researched land sales of comparable size since 2010 and there have been few transfers or acreage suitable for subdivision development. Scarcity of available acreage suitable for subdivision development in Broadview Heights helps stabilize values for the subject, as vacant.

Based on data provided by the Multiple Listing Service (MLS), there were 18 sales of single-family houses in Broadview Heights in October of 2021. Despite increases in interest rates over the trailing 12-months, there were a similar number of single-family sales in October of 2021 and 2022. This is consistent with sales trends in growth areas such as Avon and Broadview Heights, which are similar in terms of population and economic growth, single-family residential values, strong school system and low real estate tax rates.

While all conclusions are based on economic conditions as of the effective date of value, the Federal Reserve has indicated “likely” additional increases in interest rates to provide relief for significant increases in inflation, which has reached a 40-year high. Given the unprecedented four consecutive months of 75 basis point increases with an unknown forecasted increase, all conclusions as of the effective date of this report may be considered an interim result due to rapidly changing and unpredictable market conditions.

Maximally Productive:

The maximally productive use of the subject, as vacant, as of the effective date of this report is for single-family residential subdivision development as of the effective date of value. Despite the increases in inflation and interest rates, there continues to be sufficient market activity for new construction as of the effective date of this report.

Highest & Best Use Conclusion

Based on the above analysis, the highest and best use of the subject, as vacant, as of the effective date of this report is for single-family residential subdivision development as of the effective date of this report.

## APPROACHES TO VALUE

All opinions of value are derived through the development of three approaches to value when applicable. These methods are referred to as the Cost Approach, the Sales Comparison Approach, and the Income Capitalization Approach. The concept of each of these approaches is outlined as follows.

- Sales Comparison Approach: The opinion of value developed in this approach by analyzing properties, which have sold and are similar to the subject of this report. Adjustments made to the sale's price to account for differences in location, physical features and other factors will result in an indicated value from each sale. These indications of value are the basis of this approach.

  The Sales Comparison Approach was considered and was developed because there is adequate data to develop an opinion of value and this approach reflects market behavior for this property type.

- Cost Approach: The opinion of value developed in this approach is formulated by estimating the cost-new of all improvements, as of the effective date of the appraisal, and by subtracting from that amount, accrued depreciation for all causes. The difference is the depreciated value of the improvements which when added to the land value, yields an opinion of fee simple value of the subject in its entirety. Adjustments are then made to reflect leased fee or leasehold value when applicable.

  The Cost Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

- Income Approach: This technique is based upon the estimation of net income that the subject can generate after having satisfied the expenses typical for this type of property. The amount of net income is converted to an opinion of value when it is divided by an interest rate, which represents the rate of return that investors expect from properties with the subject's investment characteristics. The means of converting income to value is the capitalization process, which is the basis of this approach.

  The Income Capitalization Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

## TYPES OF ADJUSTMENTS

There are multiple types of adjustments when comparing comparable sales, rents and capitalization rates. Matched pair analysis is a premise that two properties are similar with few exceptions, which can then be quantified. This theory lacks practicality in markets with a limited number of sales, unique properties or when data is considered confidential, is not made public or cannot be confirmed. Real estate investments have a significant number of factors that go well beyond physical differences of the properties themselves and include, but are not limited to motivation of purchase, financing, return on investment and equity requirements, tax implications, lease structures, non-realty components, etc.; most of which are not considered public information and vary among investors. Recognizing this, the Appraisal Institute identifies different types of adjustments.

**Quantitative adjustments**

Quantitative adjustments are derived using mathematical and statistical modeling based on market data. A few techniques include:

- Data analysis
- Statistical analysis
- Cost-related adjustments

**Qualitative adjustments**

Qualitative adjustments are made after quantitative adjustments and are applied to those factors that cannot be statistically measured. Sufficient market data is not often available to statistically support a mathematically derived adjustment. Therefore, appraisers apply reasonable and logical analysis to those elements of comparison in which there is imperfect or inconsistent information.

"Qualitative analysis recognizes the inefficiencies of real estate markets and the difficulty in expressing adjustments with mathematical precision. It is essential, therefore, that appraisers explain the analytical process and logic applied in reconciling value indications using qualitative analysis techniques such as:"[8]

- Relative comparison analysis
- Ranking analysis
- Personal interviews

Both types of adjustments reflect the actions of local market participants and are necessary due to the inefficiencies of real estate markets.

[8] The Appraisal of Real Estate, 15th Edition, 2020, Appraisal Institute, Chicago, IL, p. 376

# SALES COMPARISON APPROACH

"In the sales comparison approach, appraisers develop opinions of value by analyzing closed sales, pending sales, active listings, and cancelled or expired listings of properties that are similar to the property being appraised. The comparative techniques of analysis applied in the sales comparison approach are fundamental to the valuation process. Estimates of market rent, expenses, land value, construction cost, depreciation, and other value parameters may be derived in the other approaches to value using comparative techniques. Similarly, in applying the sales comparison approach appraisers often analyze conclusions derived in the other approaches to determine the adjustments to be made to the sale or listing prices of comparable properties.

In the sales comparison approach, an opinion of market value is developed by comparing properties similar to the subject property that have recently sold, are listed for sale, or are under contract (i.e., for which purchase offers and a deposit have been recently submitted). A major premise of the sales comparison approach is that an opinion of the market value of a property can be supported by studying the market's reaction to comparable and competitive properties.

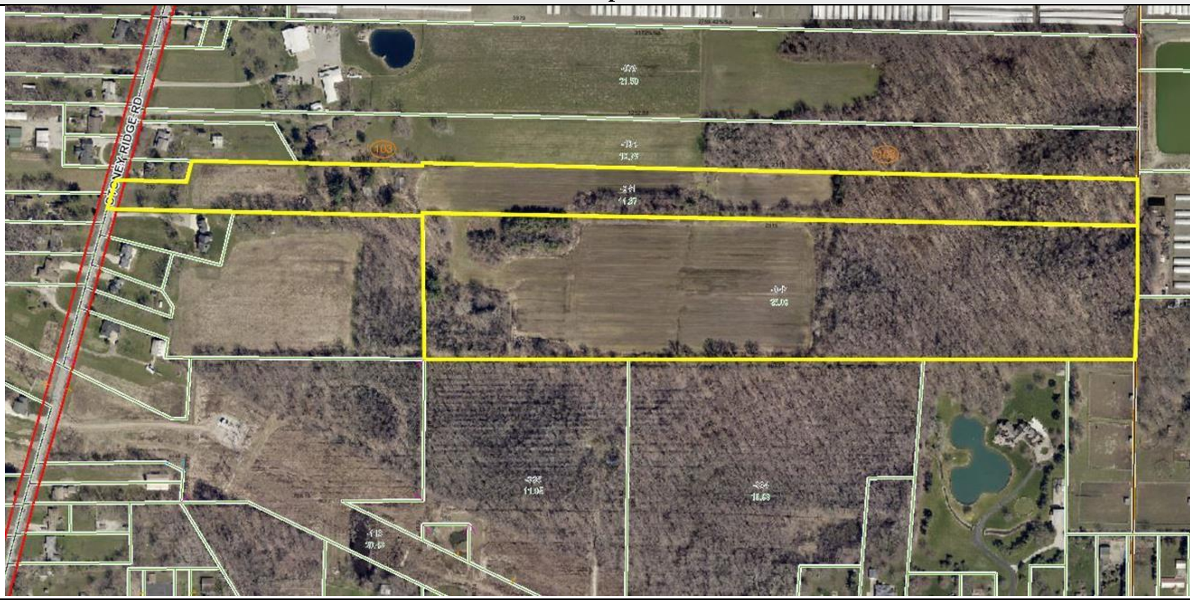
Comparative analysis of properties and transactions focuses on similarities and differences that affect value, called *elements of comparison*, which may include variations in property rights, financing terms, conditions of sale, market conditions, locational influences, and physical characteristics, among others. Appraisers examine market evidence using paired data analysis, trend analysis, statistics, and other recognized and accepted techniques to identify which elements of comparison within the data set of comparable sales are responsible for value differences." [9]

The Sales Comparison Approach was considered and was developed because there is adequate data to develop an opinion of value and this approach reflects market behavior for this property type. Given the scarcity of vacant residential land in the subject's immediate area, land sales have been analyzed from similar communities experiencing continued economic and population growth and increasing single-family residential housing values.

[9] The Appraisal of Real Estate, 15th Edition, 2020, Appraisal Institute, Chicago, IL, p. 351.

# SALES COMPARISON APPROACH – LAND VALUE

| Land Comparable 1 | | | |
|---|---|---|---|



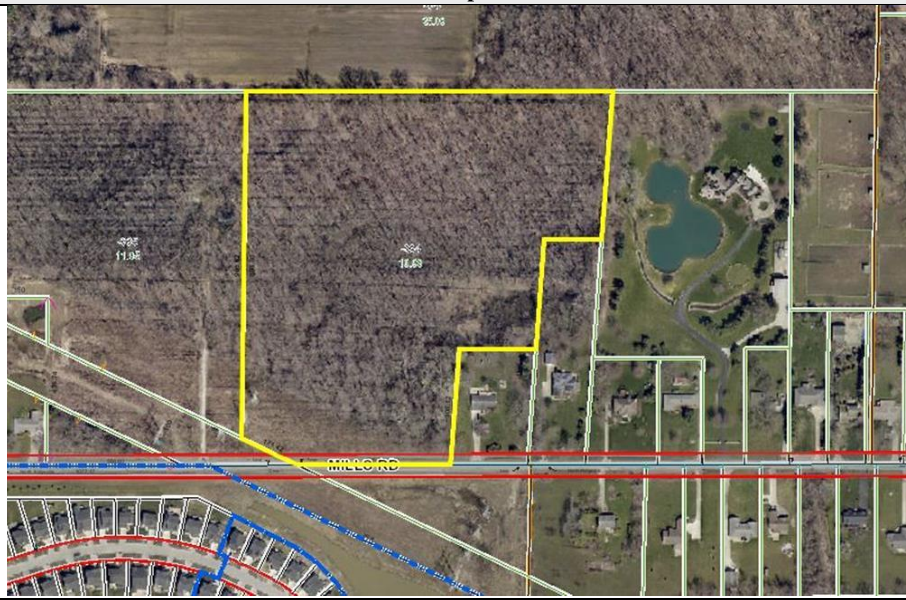

| Transaction | | | |
|---|---|---|---|
| **ID** | 1099 | **Date** | 10/17/2022 |
| **Address** | 4505 Stoney Ridge Rd. | **Price** | $1,251,000 |
| **City** | Avon | **Price Per Net SF** | $0.78 |
| **County** | Lorain | **Price Per Net Acre** | $33,991 |
| **State** | Ohio | **Property Rights** | Fee simple |
| **Tax ID** | 04-00-012-103-041 & -047 | **Financing** | Cash |
| **Grantee** | Wingate Farm, LLC | **Conditions Of Sale** | Arm's length |
| **Grantor** | Barbara A. & Ronald Ackerman & Mary Anne Jonas | **Verification Source** | EXP Realty, LLC |
| **Market** | Lorain County | **Sale:List Price** | -- |
| **Days on Market** | 179 | | |

| Site | | | |
|---|---|---|---|
| **Gross Acres** | 36.8700 | **Gross SF** | 1,606,057 |
| **Net Acres** | 36.8039 | **Net SF** | 1,603,177 |
| **Shape** | L-shaped | **Topography** | Level |
| **Utilities** | Public water | **Zoning** | R-1, Single Family Residential |
| **Current Use** | Vacant residential land | **Interior or Corner** | Interior |
| **Highest & Best Use** | Residential development | **Flood Zone** | Zone X, 39093C0141D, 8/19/08 |
| **Road Frontage** | 96 | **Environmental Issues** | None noted |
| **Depth** | 3,343 | **Encumbrance or Easement** | Typical easements |

**Comments**

Located on the east side of Stoney Ridge Road, north of Mills Road, the site was improved with a single-family residential house in poor condition with no contributory value. The site is located in a high-growth neighborhood in Lorain County and is in close proximity to multiple newer single-family residential subdivisions. Given the number of newer single-family residential subdivisions in close proximity, the City of Avon has proposed installing public sewers along the sites frontage. The buyer also purchased the adjacent parcel to the south with frontage along Mills Road in a separate transaction from a different seller. The motivation of purchase was for investment purposes given the increases in population, residential values and demand for single family residential houses in Avon. All information has been confirmed with the broker.

**Land Comparable 2**



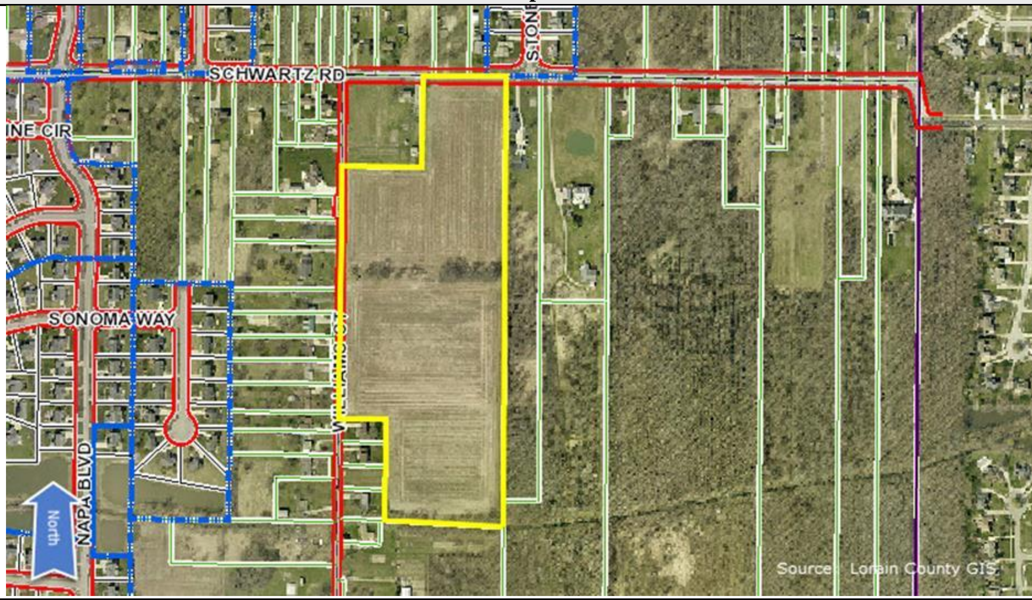

| Transaction | | | |
|---|---|---|---|
| **ID** | 1098 | **Date** | 11/1/2022 |
| **Address** | Mills Rd. | **Price** | $560,000 |
| **City** | Avon | **Price Per Net SF** | $0.77 |
| **County** | Lorain | **Price Per Net Acre** | $33,560 |
| **State** | Ohio | **Property Rights** | Fee simple |
| **Tax ID** | 04-00-012-103-334 | **Financing** | Cash |
| **Grantee** | Wingate Farm, LLC | **Conditions Of Sale** | Arm's length |
| **Grantor** | Caroline Susan Stanczyk, Trustee | **Verification Source** | RE / MAX Real Estate Group |
| **Market** | Lorain County | **Sale:List Price** | 86.3% |
| **Days on Market** | 88 | | |

| Site | | | |
|---|---|---|---|
| **Gross Acres** | 16.9780 | **Gross SF** | 739,562 |
| **Net Acres** | 16.6867 | **Net SF** | 726,872 |
| **Shape** | Mostly rectangular | **Topography** | Level |
| **Utilities** | Public water | **Zoning** | R-1, Single Family |
| **Current Use** | Vacant residential land | **Interior or Corner** | Interior |
| **Highest & Best Use** | Residential development | **Flood Zone** | Zone X, 39093C0141D, 8/19/08 |
| **Road Frontage** | 390 | **Environmental Issues** | None noted |
| **Depth** | 937 | **Encumbrance or Easement** | Typical easements |

**Comments**

Located on the north side of Mills Road, east of Stoney Ridge Road, the site consisted of vacant residential land at time of sale. Located in a high-growth area within Lorain County, the site is in close proximity to newer single-family residential subdivisions. Given the number of newer single-family residential subdivisions in close proximity to the site, the City of Avon has proposed installing public sewers along the sites frontage. The buyer also purchased the adjacent parcel to the north with frontage along the east side of Stoney Ridge Road in a separate transaction from a different seller. The motivation of purchase was for investment purposes given the increases in population, residential values and demand for single-family residential houses in Avon. All information has been confirmed with the broker representing the seller of the adjacent parcel to the north.

**Land Comparable 3**




| Transaction | | | |
|---|---|---|---|
| **ID** | 828 | **Date** | 12/29/2020 |
| **Address** | Williams Ct. | **Price** | $978,380 |
| **City** | Avon | **Price Per Net SF** | $0.90 |
| **County** | Lorain | **Price Per Net Acre** | $39,388 |
| **State** | Ohio | **Property Rights** | Fee simple |
| **Tax ID** | 04-00-026-110-040 | **Financing** | Conv. |
| **Grantee** | LDC Mass Estates, LLC | **Conditions Of Sale** | Arm's length |
| **Grantor** | Thomas R. & Patsy M. Mass | **Verification Source** | Liberty Development |
| **Market** | Lorain County | **Sale:List Price** | -- |
| **Days on Market** | -- | | |

| Site | | | |
|---|---|---|---|
| **Gross Acres** | 25.4533 | **Gross SF** | 1,108,746 |
| **Net Acres** | 24.8395 | **Net SF** | 1,082,009 |
| **Shape** | Mostly rectangular | **Topography** | Level |
| **Utilities** | All public | **Zoning** | R-1, Single-Family Residential |
| **Current Use** | Vacant residential land | **Interior or Corner** | Interior |
| **Highest & Best Use** | Residential subdivision | **Flood Zone** | Zones X & AE, 39093C0153D, |
| **Road Frontage** | 1,422 | **Environmental Issues** | Conditional Letter of Map Revision (CLOMR) |
| **Depth** | 1,913 | **Encumbrance or Easement** | Typical easements |

**Comments**

Surrounding the southeast corner of Schwartz Road & Williams Court, the site included in this sale was split from a larger parcel & was purchased for single-family residential subdivision development. Maximum density is 2.0 dwelling units per acre exclusive of public right-of-way. The approved subdivision will consist of 37 single-family homesites ranging in size between 1/3 and 1/2 acres. Construction is scheduled to begin in 2021 with home prices starting at $500,000. While portions of the site were located in a flood plain, the developer received a Conditional Letter of Map Revision (CLOMR) from FEMA indicating the lots in the proposed subdivision as approved by the City of Avon will not be within a Special Flood Hazard Area (SFHA). While there are existing sanitary sewers along Schwartz Road, the developer has agreed to assume $1,629,945 for the combined two phases of infrastructure costs along Williams Court. The City of Avon has agreed to assume the costs of widening Williams Court.

## Land Comparable 4


### Transaction

| | | | |
|---|---|---|---|
| **ID** | 884 | **Date** | 9/6/2018 |
| **Address** | Brecksville Rd. | **Price** | $510,000 |
| **City** | Richfield | **Price Per Net SF** | $0.76 |
| **County** | Summit | **Price Per Net Acre** | $33,082 |
| **State** | Ohio | **Property Rights** | Fee simple |
| **Tax ID** | 50-02893 | **Financing** | Cash |
| **Grantee** | Hope Valley Development, LLC | **Conditions Of Sale** | Arm's length |
| **Grantor** | Wesley N. Carter | **Verification Source** | -- |
| **Market** | Summit County | **Sale:List Price** | 85.0% |
| **Days on Market** | 1,174 | | |

### Site

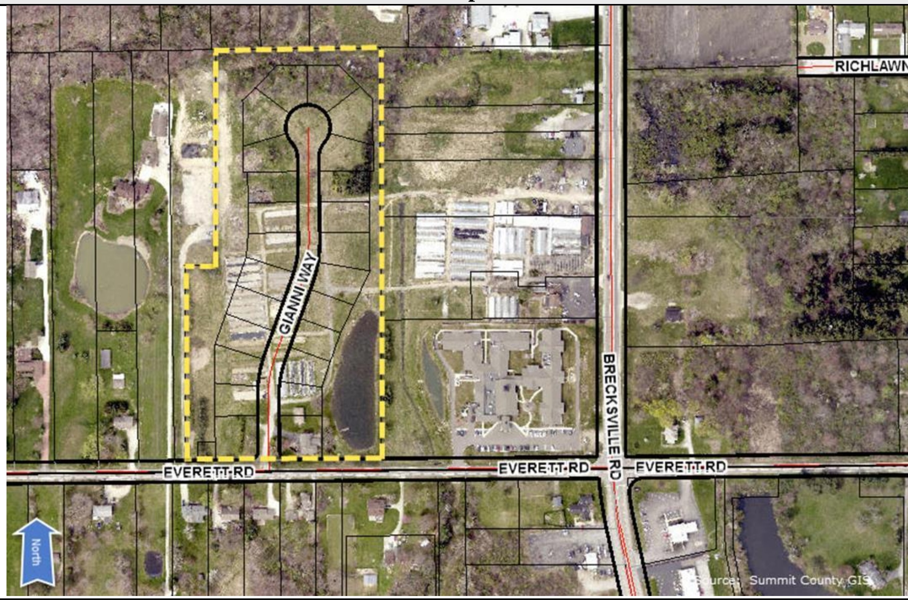
| | | | |
|---|---|---|---|
| **Gross Acres** | 15.4161 | **Gross SF** | 671,525 |
| **Net Acres** | 15.4161 | **Net SF** | 671,525 |
| **Shape** | Slightly irregular | **Topography** | Level |
| **Utilities** | All public | **Zoning** | CHII, Historic Commercial & CD, |
| **Current Use** | Vacant residential land | **Interior or Corner** | Interior |
| **Highest & Best Use** | Residential development | **Flood Zone** | Zone X, 39153C0085F, 4/19/16 |
| **Road Frontage** | 769 | **Environmental Issues** | None noted |
| **Depth** | 815 | **Encumbrance or Easement** | Typical easements |

### Comments

Located on the west side of Brecksville Road, south of Streetsboro Road, the site consisted of vacant land at time of sale. The frontage is located in the CHII, Historic Commercial zoning district while the area near the western property line is located in the CD, Conservation District. Residential uses are considered legally permissible in the CHII, Historic Commercial District conforming to standards in the R-2, Single-Family Residential District.

# SALES COMPARISON APPROACH – LAND VALUE

| Land Comparable 5 | | | |
|---|---|---|---|




| Transaction | | | |
|---|---|---|---|
| **ID** | 887 | **Date** | 2/23/2018 |
| **Address** | 4093 Everett Rd. | **Price** | $389,600 |
| **City** | Richfield | **Price Per Net SF** | $0.74 |
| **County** | Summit | **Price Per Net Acre** | $32,119 |
| **State** | Ohio | **Property Rights** | Fee simple |
| **Tax ID** | 50-01451 | **Financing** | Cash |
| **Grantee** | KNL Custom Homes, Inc. | **Conditions Of Sale** | Arm's length |
| **Grantor** | John Jr. & Cynthia Constantine | **Verification Source** | Stouffer Realty, Inc./Broker |
| **Market** | Summit County | **Sale:List Price** | -- |
| **Days on Market** | -- | | |

| Site | | | |
|---|---|---|---|
| **Gross Acres** | 12.1300 | **Gross SF** | 528,383 |
| **Net Acres** | 12.1300 | **Net SF** | 528,383 |
| **Shape** | Rectangular | **Topography** | Level |
| **Utilities** | All public | **Zoning** | R-3, Cluster Residential |
| **Current Use** | Residential/Nursery | **Interior or Corner** | Interior |
| **Highest & Best Use** | Residential development | **Flood Zone** | Zone X, 39153C0085F, 4/19/16 |
| **Road Frontage** | 550 | **Environmental Issues** | None noted |
| **Depth** | 1,140 | **Encumbrance or Easement** | Surface & utility easements |

**Comments**

Located on the north side of Everett Road, two parcels west of Brecksville Road, the site was improved with a single-family house & nursery at time of sale. The greenhouses were removed prior to the transfer of the property. The property was purchased for cluster home development with 26 proposed cluster homes on a street now identified as Gianni Way. The site had access to all public utilities at time of sale and the existing well was used for the nursery. The seller requested a surface easement for exclusive use of the well at time of sale. All information has been confirmed with the broker and the acreage has been confirmed with the legal description.

# ADJUSTMENT GRID – LAND VALUE

| Land Analysis Grid | | Comp 1 | Comp 2 | Comp 3 | Comp 4 | Comp 5 |
|---|---|---|---|---|---|---|
| Address | W. Mill Road | 4505 Stoney | Mills Rd. | Williams Ct. | Brecksville Rd. | 4093 Everett Rd. |
| City | Broadview Heights | Avon | Avon | Avon | Richfield | Richfield |
| State | Ohio | Ohio | Ohio | Ohio | Ohio | Ohio |
| Zip | 44147 | 44011 | 44011 | 44011 | 44286 | 44286 |
| Date | 10/27/2022 | 10/17/2022 | 11/1/2022 | 12/29/2020 | 9/6/2018 | 2/23/2018 |
| Price | | $1,251,000 | $560,000 | $978,380 | $510,000 | $389,600 |
| Net Acres | 26.2577 | 36.8039 | 16.6867 | 24.8395 | 15.4161 | 12.1300 |
| Net Acre Unit Price | | $33,991 | $33,560 | $39,388 | $33,082 | $32,119 |
| **Transaction Adjustments** | | | | | | |
| Property Rights | Fee Simple | Fee simple 0.0% | Fee simple 0.0% | Fee simple 0.0% | Fee simple 0.0% | Fee simple 0.0% |
| Financing | | Cash 0.0% | Cash 0.0% | Conv. 0.0% | Cash 0.0% | Cash 0.0% |
| Conditions of Sale | | Arm's length 0.0% | Arm's length 0.0% | Arm's length 0.0% | Arm's length 0.0% | Arm's length 0.0% |
| **Adjusted Net Acre Unit Price** | | **$33,991** | **$33,560** | **$39,388** | **$33,082** | **$32,119** |
| Market Trends Through | 4/1/2021 2.0% | 0.0% | 0.0% | 0.5% | 5.2% | 6.3% |
| **Adjusted Net Acre Unit Price** | | $33,991 | $33,560 | $39,587 | $34,809 | $34,155 |
| Subsequent Trends Ending | 10/27/2022 0.0% | 0.0% | 0.0% | 0.0% | 0.0% | 0.0% |
| **Adjusted Net Acre Unit Price** | | $33,991 | $33,560 | $39,587 | $34,809 | $34,155 |
| Location | Average | Offsetting | Offsetting | Superior | Similar | Similar |
| % Adjustment | | 0% | 0% | -15% | 0% | 0% |
| Net Acres | 26.2577 | 36.8039 | 16.6867 | 24.8395 | 15.4161 | 12.1300 |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| Utilities | Public water, Public sewers | Public water | Public water | All public | All public | All public |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| Shape | Mostly rectangular | L-shaped | Mostly rectangular | Mostly rectangular | Slightly irregular | Rectangular |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| Topography | Moderate slopes | Level | Level | Level | Level | Level |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| Zoning | A-1, Single-Family Dwelling & D-1, Community | R-1, Single Family Residential | R-1, Single Family | R-1, Single-Family Residential | CHII, Historic Commercial & CD, Conservation District | R-3, Cluster Residential |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| Road Frontage | 531 | 96 | 390 | 1,422 | 769 | 550 |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| Depth | 1,134 | 3,343 | 937 | 1,913 | 815 | 1,140 |
| % Adjustment | | 0% | 0% | 0% | 0% | 0% |
| **Adjusted Net Acre Unit Price** | | **$33,991** | **$33,560** | **$33,649** | **$34,809** | **$34,155** |
| **Net Adjustments** | | 0.0% | 0.0% | -15.0% | 0.0% | 0.0% |

Adjustment Analysis

Several sales have been researched and analyzed to determine an opinion of value for the subject property as of the effective date of this report. Market and statistically derived adjustments are applied when applicable and further refinement is handled in the reconciliation process when market support is unavailable due to the inefficiencies in the real estate markets.

**Transaction Adjustments:**

Property Rights: All sales included the transfer of the fee simple interest, requiring no adjustment.

Financing: All sales consisted of either cash or conventional financing, requiring no adjustment.

Conditions of Sale: All sales were arm's length transfers, requiring no adjustment.

Market Conditions: The subject and comparable sales are located in areas of population and economic growth and increasing single-family residential values. The market experienced significant increases attributed to the pandemic, mainly consisting of a limited availability of available properties for sale extending more than one year. During the same time period, inflation was also significantly increasing resulting in declining effective purchasing power. Given market instability and atypical market conditions, the basis for adjustment is based on changes in the Consumer Price Index (CPI) until April of 2021 at which time inflation began to outpace market appreciation. Based on the market data, a reconciled adjustment of 2.0% per year is considered reasonably supported.

**Physical Adjustments:**

Location: Although the subject and comparable sales are all located in areas of population and economic growth and strong school districts, Land Sale 3 is located in one of the highest value markets in the City of Avon and set the high-end of the range in terms of unit value. Purchased for single-family residential subdivision development, current list prices for new construction are in excess of $800,000, requiring a downward adjustment. The basis for adjustment is based on the following matched pair analysis.

| | Location | Price/Ac. | Difference (%) |
|---|---|---|---|
| Sale 3 | Superior | $39,587 | n/a |
| Sales 1, 2, 4 & 5 | Similar | $34,129 | -13.8% |

The remaining land sales are in similar areas or have offsetting considerations requiring no adjustments for location. Although the City of Richfield has higher residential unit values, market appreciation in the City of Broadview Heights has recently outpaced the growth in Richfield.

Size: While land size and unit values are sometimes inversely related, it does not occur on a straight line basis and often requires significant differences in size. Despite the differences in size, the narrow unit value range after the previous adjustments are applied indicates additional adjustments for size are not warranted.

# Sales Comparison Approach – Land Value

Sale Statistics & Reconciliation

The table below summarizes relevant statistics both before and after adjustment. After all adjustments are applied the range and standard deviation decrease significantly indicating greater reliability. In addition the reconciled unit value is bracketed by both the unadjusted and adjusted unit value range.

After all market data and support is taken into consideration, the comparable sales have adjusted average and median unit values of $34,033 and $33,991 per acre respectively. Based on all market data and support, the final opinion of market value of the Fee Simple interest derived in the Sales Comparison Approach as of the effective date of this report is:

| **Land Value Ranges & Reconciled Value** | | | | | |
|---|---|---|---|---|---|
| **Number of Comparables:** | **5** | | **Unadjusted** | **Adjusted** | **% Δ** |
| | | **Low:** | $32,119 | $33,560 | 4% |
| | | **High:** | $39,388 | $34,809 | -12% |
| | | **Average:** | $34,428 | $34,033 | -1% |
| | | **Meadian:** | $33,560 | $33,991 | 1% |
| | | **Standard Deviation** | $2,859 | $498 | -83% |
| | | **Reconciled Value/Unit Value:** | | $34,000 | |
| **Subject Size:** | **Acres** | | | 26.2577 | |
| | | **Indicated Value:** | | $892,762 | |
| | | **Reconciled Final Value:** | | **$895,000** | |
| **Eight Hundred Ninety Five Thousand Dollars** | | | | | |

# COST APPROACH

Like the sales comparison and income capitalization approaches, the cost approach is based on market comparisons. In the cost approach, appraisers compare the replacement cost of the subject improvements to the cost to develop similar improvements as evidenced by the cost of construction of substitute properties with the similar utility as the subject property. The estimate of development cost is adjusted for market-extracted losses in value caused by the age, condition, and utility of the subject improvements or for locational problems. The land value as if unimproved is then added, usually based on comparison with sales of comparable sites with the same or a similar highest and best use. The sum of the value of the land and the improvements is adjusted for any existing property rights (e.g., leased fee, leasehold interests) included with the subject property, which are implicit in the two other approaches to value.[10]

After gathering all relevant information and analyzing data for the market area, site, and improvements, an appraiser follows a series of steps to derive a value indication by the cost approach. An appraiser will:

1. Estimate the value of the site as though vacant and available to be developed to its highest and best use.

2. Determine which cost basis is most applicable to the assignment: reproduction cost or replacement cost.

3. Estimate the direct (hard) and indirect (soft) costs of the improvements as of the effective appraisal date.

4. Estimate an appropriate entrepreneurial incentive from analysis of the market.

5. Add the estimated direct costs, indirect costs, and entrepreneurial incentive to arrive at the total cost of the improvements.

6. Estimate the amount of depreciation in the improvements and, if necessary, allocate it among the three major categories:

    - Physical deterioration
    - Functional obsolescence
    - External obsolescence

7. Deduct estimated depreciation from the total cost of the improvements to derive an estimate of their depreciated cost.

8. Estimate the contributory value of any site improvements that have not already been considered. (Site improvements may be appraised at their contributory value—i.e., directly on a depreciated-cost basis—but may be included in the overall cost calculated in Step 3 and depreciated if necessary.)

[10] The Appraisal of Real Estate, 15th Edition, Appraisal Institute, Chicago, IL 2020, p. 525

9. Add land value to the total depreciated cost of all the improvements to develop an indication of the market value of the fee simple interest in the real property.

10. If appropriate, adjust for the property interest being appraised to derive the indicated value of the specified interest in the property.

11. If the property will experience net income shortfalls during a lease-up period, then calculate a rent-up adjustment to account for the cost of leasing (distinct from leasing commissions).

12. Adjust for personal property (e.g., furniture, fixtures, and equipment) or intangible assets that are included in the appraisal."[11]

The Cost Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

[11] The Appraisal of Real Estate, 15th Edition, Appraisal Institute, Chicago, IL 2020, page 532-533

# INCOME CAPITALIZATION APPROACH

Income-producing real estate is typically purchased as an investment, and from an investor's point of view earning power is the critical element affecting property value. A basic investment premise holds that the higher the earnings, the higher the value, provided the risk remains constant. In the income capitalization approach, an appraiser analyzes a property's capacity to generate future benefits and capitalizes the income into an indication of present value. The principle of anticipation is fundamental to the approach. Techniques and procedures from this approach are also used to analyze comparable sales data in the sales comparison approach and to measure obsolescence in the cost approach.[12]

The principles of supply and demand and the related concept of competition are particularly useful in forecasting future benefits and estimating rates of return in the income capitalization approach. If the demand for a particular type of space exceeds the existing supply, owners may be able to increase rents, vacancy rates may fall, and construction may become profitable. Property values may increase until supply and demand approach equilibrium. On the other hand, if the demand for space is less than the existing supply, rents may decline and vacancy rates may increase. Therefore, to forecast future benefits and estimate rates of return, appraisers consider present and future anticipated demand as well as the interaction of supply and demand.[13]

When an appraisal assignment involves the valuation of the fee simple interest in a leased property, the valuation of the entire bundle of rights applies. The value of a leasehold estate may be positive, zero, or negative, depending on the relationship between market rent and contract rent, the remaining term of the lease, and other factors. The difference between the market rent and contract rent may be capitalized at an appropriate rate or discounted to present value to produce an indication of the leasehold value, if any, without consideration of the value of the leased fee estate.[14]

The Income Capitalization Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

[12] The Appraisal of Real Estate, 15th Edition, Appraisal Institute, Chicago, IL, 2020, p. 413
[13] The Appraisal of Real Estate, 15th Edition, Appraisal Institute, Chicago, IL, 2020, p. 414
[14] The Appraisal of Real Estate, 15th Edition, Appraisal Institute, Chicago, IL, 2020, p. 415

# Conclusion(s) & Reconciliation of Value

| **Approach Conclusions:** | | |
|---|---|---|
| Sales Comparison Approach: | | |
| As vacant: | (Land only) | $895,000 |
| As improved: | | N/A |
| Cost Approach: | | N/A |
| Income Capitalization Approach: | | N/A |

As of the effective date of this report the subject consists of vacant land located in residential and community zoning districts. The Sales Comparison Approach is considered most applicable and is consistent with market investor expectations.

Based on all analyses completed in this report and the strengths and weaknesses of the applicable approaches to value, the final reconciled opinion(s) of value are:

| Current "As Is" opinion of market value of the Fee Simple interest as of October 27, 2022 |
|---|
| $895,000 |
| Eight Hundred Ninety Five Thousand Dollars |

# ADDENDA A: APPRAISER QUALIFICATIONS & DISCLOSURE

## Douglas J. Firca, MAI
## Appraiser

Education

John Carroll University
B.S.B.A. Finance
Minor: Economics

Professional Affiliations

Appraisal Institute, MAI designation

Certified General Appraiser, State of Ohio

Ohio Chapter Appraisal Institute, Board of Directors

Appraisal Institute, Region Representative, Region V

Douglas J. Firca, MAI joined Buckholz, Caldwell & Associates in 2016 with 15 years of real estate appraisal experience and has an extensive background appraising various property types in the Cleveland Metropolitan Area. Notable property types include:

- Office & retail buildings
- Apartment & multi-family properties
- Industrial buildings & flex space
- Net lease properties
- Places of worship
- Restaurants
- Mixed-use buildings
- Special purpose properties
- Vacant land

Having held multiple positions in the Appraisal Institute on a state & regional basis, Mr. Firca has developed an extensive understanding of the fundamental factors & market dynamics affecting real estate values. This understanding includes not only market value analysis, but also liquidation, assessed, going concern & value in use including both Direct Capitalization & Yield Capitalization (Discounted Cash Flow) methodologies. In addition to providing real estate appraisal services for mortgage financing, tax appeal, estate planning and internal auditing purposes, Mr. Firca has an extensive background in eminent domain projects for the Ohio Department of Transportation, municipalities, Sewer Districts and Cleveland Hopkins International Airport. Notable projects include:

- Opportunity Corridor Project
- Superior Pump Station & Stones Levee
- Combined Sewer Overflow Project
- Hangar analysis for Cleveland Hopkins International Airport
- Medina 42
- E. 140th Street Project

Ranging in terms of size and complexity, all valuation assignments require detailed analyses of right-of-way plans and determination of whether the properties incurred financial damage resulting in a diminution of value as a result of the project.

Previous Appraisal Experience

O.R. Colan Associates – Appraisal Manager

- Oversaw the Cleveland Office to ensure timely completion of eminent domain projects;
- Assisted the State of Ohio & municipalities to determine the final impact to the real estate of eminent domain projects;
- Completed appraisals of multiple properties through entire corridors of varying complexities;
- Completed scenario analyses for municipalities to help determine the most cost effective procedure.

Butler Burgher Group – Senior Appraiser

- Provided valuation analysis for commercial, industrial, special purpose and complex properties;
- Reconciled multiple opinions of value including market, going concern, liquidation & dark values;
- Completed appraisals of investment grade properties including portfolio and net lease properties;
- Developed opinions of value for industrial properties in excess of $30 million.

Buckholz, Caldwell, Weber & Associates – Appraiser

- Constructed & analyzed discounted cash flow models based on financial analysis & capital market research;
- Analyzed comparable sales transactions along with replacement and reproduction cost models;
- Analyzed and supported income, expense and capitalization rate forecasts for income producing properties.

Continental Valuations – Appraiser

- Worked with a team that successfully completed projects with 100+ parcels for eminent domain purposes;
- Assessed short- and long-term monetary impact of eminent domain projects for a variety of real estate holdings;
- Reviewed and evaluated detailed right-of-way plans identifying financial damages resulting in diminution in values;
- Completed appraisals for the Ohio Department of Transportation and various condemning authorities.

Appraiser Disclosure Statement

In compliance with Ohio Revised Code Section 4763.12 (C)

Name of Appraiser: Douglas J. Firca, MAI

Class of Certification/License:

__X__ Certified General

______ Licensed Residential

______ Temporary ______ General ______ Licensed

Certification/License Number: 2005003714

Scope: This report

__X__ is within the scope of my Certification or License

______ is not within the scope of my Certification or License

Service Provided By:

__X__ Disinterested & Unbiased Third Party

______ Interested & Biased Third Party

______ Interested Third Party on Contingent Fee Basis

Signature of person preparing and reporting the appraisal.

Douglas J. Firca

Douglas J. Firca, MAI

This form must be included in conjunction with all appraisal assignments or specialized services performed by a state-certified or state-licensed real estate appraiser.

State of Ohio
Department of Commerce
Division of Real Estate
Appraiser Section
Cleveland (216) 787-3100 (Fax) (216) 787-4449

**AN APPRAISER LICENSE/CERTIFICATE**
has been issued under ORC Chapter 4763 to:

**NAME:**
Douglas J Firca

**LIC/CERT NUMBER:**
2005003714

**LIC LEVEL:**
Certified General Real Estate Appraiser

**CURRENT ISSUE DATE:**
07/20/2022

**EXPIRATION DATE:**
06/21/2023

**USPAP DUE DATE:**
06/21/2024

Ohio | Department of Commerce
Division of Real Estate & Professional Licensing